IV Exercises

1. State whether the following expenditures are capital, revenue or deferred revenue.
   (i) Advertising expenditure, the benefits of which will last for three years.
   (ii) Registration fees paid at the time of registration of a building.
   (iii) Expenditure incurred on repairs and whitewashing at the time of purchase of an old building in order to make it usable.

   (**Answer**: Capital Expenditure: ii , iii Deferred revenue expenditure: i)

2. Classify the following items into capital and revenue.
   (i) Registration expenses incurred for the purchase of land.
   (ii) Repairing charges paid for remodelling the old building purchased.
   (iii) Carriage paid on goods purchased.
   (iv) Legal expenses paid for raising of loans

   (**Answer**: Capital : i, ii, iv Revenue: iii)

3. State whether they are capital and revenue.
   (i) Construction of building ₹ 10,00,000.
   (ii) Repairs to furniture ₹ 50,000.
   (iii) White-washing the building ₹ 80,000
   (iv) Pulling down the old building and rebuilding ₹ 4,00,000

   (**Answer**: Capital: i, iv. Revenue: ii, iii)

4. Classify the following items into capital and revenue.
   (i) ₹ 50,000 spent for railway siding.
   (ii) Loss on sale of old furniture
   (iii) Carriage paid on goods sold.

   (**Answer**: Capital: i, Revenue: ii, iii)

5. State whether the following are capital, revenue and deferred revenue.
   (i) Legal fees paid to the lawyer for acquiring a land ₹ 20,000.
   (ii) Heavy advertising cost of ₹ 12,00,000 spent on introducing a new product.
   (iii) Renewal of factory licence ₹ 12,000.
   (iv) A sum of ₹ 4,000 was spent on painting the factory.

   (**Answer**: Capital: i, Revenue: iii, iv Deferred revenue: ii)

6. Classify the following receipts into capital and revenue.
   (i) Sale proceeds of goods ₹ 75,000.
   (ii) Loan borrowed from bank ₹ 2,50,000
   (iii) Sale of investment ₹ 1,20,000.
   (iv) Commission received ₹ 30,000.
   (v) ₹ 1,400 wages paid in connection with the erection of new machinery.

   (**Answer**: Capital: ii, iii, v Revenue: i, iv)

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